

SYRIAN ARAB REPUBLIC

Table 1 **2021**

Population, million	21.3
GDP, current US\$ billion	11.4
GDP per capita, current US\$	534.3
School enrollment, primary (% gross) ^a	81.7
Life expectancy at birth, years ^a	73.7
Total GHG emissions (mtCO2e)	44.9

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2020).

As a net importer of food and fuel, soaring commodity prices triggered by the war in Ukraine have adversely affected Syria's fiscal and external balances, inflation, and international reserves. Food insecurity - already severe prior to the war in Ukraine - has worsened further due to prolonged armed conflict, soaring food prices, diminished subsidies, and low crop production. Uncertainty surrounding the pandemic and climatic shocks may further weaken already dire socioeconomic conditions.

Key conditions and challenges

A decade-long conflict has had devastating socioeconomic consequences. Although the intensity of the conflict has declined from a peak in the mid-2010s, Syria continues to rank amongst the top countries in terms of violent deaths. Close to two-fifths of facilities remain either partially damaged or destroyed in certain conflict-affected cities, according to the latest damage assessment of the World Bank in late 2021. More than half of Syria's pre-conflict population remains displaced, including 6.8 million internally displaced persons (IDPs) and 6.9 million refugees abroad. The destruction of physical capital, casualties, forced displacement, and the breakup of economic networks have halved the size of the economy compared to 2010. The dramatic decline in Gross National Income per capita prompted the World Bank to reclassify Syria as a low-income country since 2018.

Conflict, displacement, and the collapse of economic activity have all contributed to the decline in household welfare. Extreme poverty has consistently risen since the onset of the conflict, reflecting deteriorating livelihood opportunities and a progressive depletion of household coping capacity. Access to shelter, health, education, water, and sanitation have all worsened dramatically with the conflict. The Human Development Index (HDI) positioned Syria as 150th out of 190

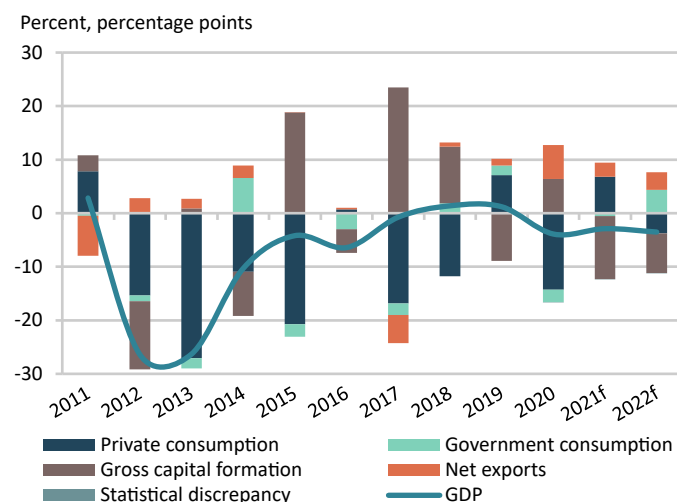
countries globally in 2021, down from 110th out of 169 countries in 2010.

In recent years, multiple regional and global shocks have further aggravated the humanitarian and economic crisis. External economic ties have been severely restrained by the deepening crisis in neighboring Lebanon and Turkey and the introduction of new US sanctions under the Caesar Act, which caused shortages of essential goods and rapid currency depreciation. The market exchange rate of the Syrian pound against the US dollar weakened by 26 percent year-on-year (yoy) in 2021, after a 224 percent (yoy) depreciation in 2020. With a severely degraded healthcare system, COVID-19 has exacerbated the vulnerable situation. Since early 2022, soaring commodity prices triggered by the war in Ukraine have adversely affected Syria's position as a net food and fuel importer.

Recent developments

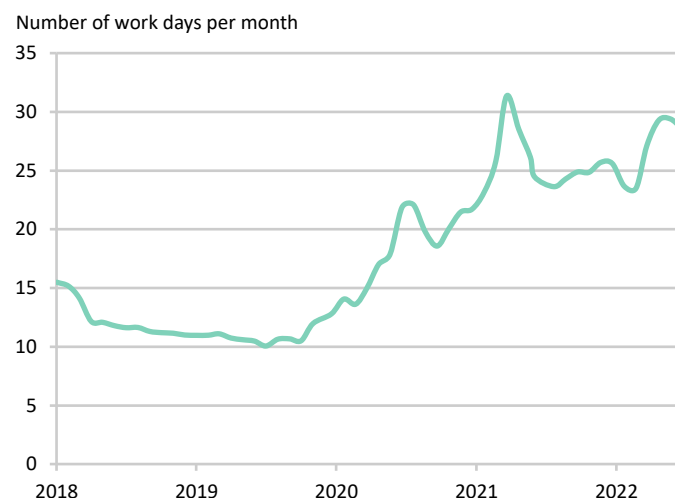
Socioeconomic conditions continue to deteriorate in 2022. Following a record-low crop production in 2021, wheat yield in 2022 remains low due to drought conditions and shortages of agricultural inputs. Consequently, acute food insecurity has worsened in recent months. According to the World Food Program (WFP), nearly 9.5 million Syrians were severely food insecure in June 2022, with an additional 2.5 million at risk of falling into food insecurity. Syria ranks among the ten most food-insecure countries globally.

FIGURE 1 Syrian Arab Republic / Real GDP growth and contributions to real GDP growth



Sources: Central Bureau of Statistics of Syria and World Bank estimates.

FIGURE 2 Syrian Arab Republic / Work days per month needed to afford minimum food basket



Sources: WFP Market Price Market Price Watch Bulletin and World Bank estimates.

Inflation is on the rise. By July 2022, the WFP minimum food basket has increased by 33 percent since the beginning of the war in Ukraine, up 87 percent compared to the same time last year. The Syrian pound has depreciated by about 10 percent against the US dollar since the war in Ukraine, contributing to high inflation. Rising prices have also eroded real wages. It is estimated that a low-skilled worker needs to work on average 28 days per month to afford the minimum food basket in June 2022. In addition, fuel prices have been raised several times in 2022, further reducing the purchasing power of vulnerable households. Higher costs of essential goods triggered by the war in Ukraine have made fiscal policies more restrictive. Immediately after the start of the war, authorities announced a limit on public spending to cover only priorities over the next months. Some construction projects have reportedly been suspended. Authorities also tightened the supply of essential food and fuel commodities to ensure that supply can be sustained for a longer period. For instance, the

authorities cut the heating oil and gasoline allocation per family by half.

Outlook

Subject to extraordinarily high uncertainty, real GDP is projected to contract by 3.5 percent in 2022, after declining by 2.9 percent in 2021. Private consumption will remain subdued with continued erosion of purchasing power amid rising prices and currency depreciation. Private investment is projected to remain weak as the security situation is assumed to remain volatile, and economic and policy uncertainties persist. Government spending, especially capital expenditures, will continue to be constrained by low revenues and lack of access to financing.

Inflation is projected to decline but remains substantial in 2022, due to the pass-through effects of currency depreciation, persistent food and fuel shortages, and price increases of subsidized goods and services. The fiscal deficit is expected to

widen further in 2022, as efforts to tighten fiscal policy are projected to only partly offset the cost-driven increase in expenditures. A more costly import bill is expected to increase the current account deficit. Persistent twin deficits are projected to further drain foreign exchange reserves, increasing depreciation pressures.

Risks to the growth outlook are significant and tilted to the downside. In the event of more contagious and deadly COVID-19 variants in Syria, slow vaccination rollouts and inadequate health facilities will exacerbate its impact. A prolonged war in Ukraine and recurring climate shocks could further exacerbate inflationary pressures, which are likely to hurt the poor more. As donors prioritize funding for Ukraine, some aid might be diverted away from Syria, exacerbating the already acute food insecurity. On the upside, foreign investment restrictions in northwest Syria were eased, and non-governmental organizations (NGOs) were permitted to extend operations in early 2022. These measures may potentially facilitate trade, investment, and humanitarian operations.

TABLE 2 Syrian Arab Republic / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019	2020	2021	2022e
Real GDP growth, at constant market prices^a	1.2	-3.9	-2.9	-3.5
Inflation (Consumer Price Index)	13.4	114.2	89.6	42.8
Current Account Balance (% of GDP)	-4.1	-4.0	-3.9	-4.5
Fiscal Balance (% of GDP)	-8.1	-8.4	-7.5	-9.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.

a/ Projections based on nighttime light data.